The Crossing & The Capture

A Working Paper on AI Transition Dynamics

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This paper offers a vocabulary for understanding the AI transition, not a complete theory, not a policy blueprint, but a set of concepts that make the structural dynamics legible enough to navigate, discuss, and shape.

The Core Thesis

AI is driving rapid deflation across many forms of cognitive labour. But the most important question is not whether production costs fall. **It is where the released value goes**.

In some domains, lower cost and lower friction may broaden access and strengthen shared infrastructure. In others, value may migrate into new chokepoints, tollbooths, and infrastructure layers.

This paper argues that the central problem of the AI transition is not automation, it is capture.

Capture is not a conspiracy. It is a recurring system behaviour: when one form of scarcity weakens, actors with capital, infrastructure, or institutional power often rebuild scarcity somewhere else. Understanding this pattern is the first step toward shaping a different outcome.

A Vocabulary for the Transition

This paper introduces several concepts designed to make the AI transition more legible:

- **The Four Scarcities**: cognitive, manufactured, physical, and human, which clarify why AI disrupts different domains at different rates and where value migrates

- **The Pyramid Model**: top (value creation), middle (scarcity management), base (demand/access), which explains organisational compression dynamics
- **The Four-Phase Pattern**: compression, middle-layer drain, defence inversion, release, which describes how transitions unfold
- **Capture Patterns**: infrastructure capture, complexity reintroduction, residual position capture, physical layer migration, which explain where value relocates
- **The Valley**: the painful gap between old structures losing rationale and new structures becoming reliable

These concepts are tools for seeing. The paper's goal is to install them as lenses through which the transition becomes navigable.

Part I: The Transition Mechanics

1. The System Being Disrupted

Most people have lived their entire lives inside a scarcity economy and never had reason to think of it as a designed system. It feels like nature because it has been the background condition of civilisation for so long.

But the scarcity economy is a response to constraints, not a law of physics. At its core, it is a vast set of structures built to answer one question: ***How do we allocate things that are rare?***

When intelligence, expertise, coordination, and trust are expensive, societies build institutions that ration them. We build universities and licensing systems to control access to expertise. We build professions to manage scarce knowledge. We build banks and intermediaries to manage financial coordination. We build organisational hierarchies to coordinate human attention.

Oliver Williamson's transaction cost economics offers a useful lens: institutions emerge from the practical problem of coordinating economic activity under conditions of bounded rationality and opportunism.[1] Markets, hierarchies, and hybrid arrangements represent different solutions to the same underlying challenge. The scarcity economy is, at its core, a vast institutional response to high transaction costs.

The transition begins because some of the conditions that made these structures necessary are changing.

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[1]Williamson, O.E. (1985). *The Economic Institutions of Capitalism*. New York: Free Press.

2. AI Deflation: What It Is and What It Isn't

AI deflation means the rapid decline in the cost, time, and friction required to produce and distribute many forms of cognitive labour and information-based services, often with improving quality at the same time.

The empirical evidence is striking. LLM inference prices have fallen by 9x to 900x per year depending on performance level, with the fastest declines since January 2024.[2] Stanford's HAI Index documented a drop from $20 to $0.07 per million tokens for GPT-3.5-equivalent performance between November 2022 and October 2024, a 280-fold reduction in eighteen months.[3]

AI deflation does **not** mean:

- Broad price deflation across the whole economy
- Automatic distribution of gains to users
- Elimination of all scarcity
- Smooth, painless transition

This last point matters most. Falling production costs do not automatically lead to broadly distributed gains. The cost of creating a service may fall while the cost of accessing it remains high, or even rises.

This is where capture begins.

3. The Four Kinds of Scarcity

Much confusion in the AI discourse comes from treating scarcity as one thing. It is not. For practical analysis, distinguish four kinds:

Cognitive scarcity

Scarcity tied to analytical capability, pattern recognition, knowledge retrieval, procedural expertise, and information processing. A junior analyst's ability to synthesise a dataset, a paralegal's knowledge of filing procedures, a consultant's capacity to produce a market overview, these were real skills, hard-won through years of training and experience.

This is the category AI is disrupting most visibly and most rapidly. The scarcity was genuine when these capabilities lived only in human minds, but it was a function of biological limitation, not permanent necessity. As AI replicates and often exceeds these capabilities at collapsing cost, cognitive scarcity is dissolving across virtually every knowledge domain simultaneously.

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[2]Epoch AI (2025). "LLM inference prices have fallen rapidly but unequally across tasks." https://epoch.ai/data-insights/llm-inference-price-trends
[3]Stanford HAI (2025). AI Index Report.

Cognitive scarcity does not disappear entirely. Novel analytical challenges, cross-domain synthesis, and judgement calls at the frontier remain difficult. But the vast middle band of cognitive work, routine analysis, standard drafting, procedural navigation, pattern matching against known frameworks, is compressing rapidly.

Manufactured scarcity

Scarcity created or maintained through institutional and commercial structures, often presented as quality control, safety, or professional necessity. Examples include unnecessary credential barriers, regulatory complexity that preserves intermediaries, monopoly control over distribution, and artificial friction around routine services.

Manufactured scarcity is where AI deflation hits next, because the cost structure was organisational or political rather than fundamentally productive. As cognitive scarcity weakens, the rationale for many manufactured barriers weakens with it. If AI can produce competent legal guidance, the argument for restricting access to legal information through professional gatekeeping becomes harder to sustain.

Physical scarcity

Scarcity tied to material and thermodynamic reality. Land, grid capacity, cooling water, specialised hardware, energy infrastructure, and logistics remain physically constrained. AI may reduce friction around many things, but it does not dissolve these limits. In some cases it intensifies pressure on them.

Physical scarcity is strategically important precisely because it persists while other forms weaken. As cognitive and manufactured scarcity are compressed, value migrates toward physical bottlenecks. The five largest hyperscalers are projected to spend over $600 billion on capital expenditure in 2026, with three companies now accounting for 58% of all hyperscale data centre capacity worldwide.[4] This is capture following the scarcity gradient downward.

Human scarcity

The irreducible residual: what remains genuinely scarce after cognitive capability becomes abundant and manufactured barriers fall away. This is not "everything humans do." It is specifically what cannot be replicated even when AI can match or exceed human performance across most cognitive tasks.

Human scarcity includes: wisdom under genuine uncertainty, where the information is incomplete and the stakes are high; trust built through sustained relationship and demonstrated integrity; willpower and drive; moral judgement that weighs competing values rather than

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[4]Synergy Research Group (2025). "Hyperscale Spending Spree is Driving Dramatic Growth in Data Center Capacity." Hyperscaler CapEx projections from Goldman Sachs, Morgan Stanley, and company filings.

optimising a single metric; embodied presence and the forms of care, craft, and leadership that require physical participation; and creative vision that reframes problems rather than recombining existing solutions.

Human scarcity does not disappear, though its boundaries may shift as AI capabilities advance. The critical insight is that it is a much narrower category than most professionals currently assume. Much of what we have historically called "expertise" sits in the cognitive scarcity category rather than the human scarcity category, and AI is revealing that distinction in real time.

Why these four distinctions matter

AI-driven deflation affects these four forms at different rates and through different mechanisms. It dissolves cognitive scarcity directly and rapidly. It erodes the rationale for manufactured scarcity. It often leaves physical scarcity intact and sometimes makes it more strategically important. It does not touch human scarcity directly, though it changes the context in which human scarcity operates.

The four-scarcity framework reveals why the transition is so disorienting. Most professionals have built careers, identities, and economic positions on cognitive capabilities that felt permanent. The discovery that these capabilities are being commoditised is not merely an economic disruption. It is an identity disruption.

The framework also reveals where capture migrates. As cognitive and manufactured scarcity weaken, capture strategies move down-stack towards physical infrastructure: compute, chips, energy, data centres, and network infrastructure. If we do not distinguish between kinds of scarcity, we risk celebrating liberation at one layer while enclosure is quietly rebuilt at another.

4. The Pyramid: Top, Middle, and Base

Many industries can be understood as pyramids built around a scarce resource.

The top layer contains a relatively small group who create or embody genuinely scarce value, experts, innovators, practitioners whose judgement cannot be easily replicated.

The middle layer is much larger: people, processes, and institutions that manage access to the scarce value at scale. This layer performs real coordination, verification, routing, and trust functions. But much of it exists because the scarce thing cannot reach everyone directly. In Williamson's terms, the middle layer exists because transaction costs are high. That is where the system's friction sits.

The base layer is largest: people and organisations who need access to the value at the top. In the scarcity model, the base experiences value primarily through the middle layer's mediation. Access is rationed by cost, credentials, geography, and gatekeeping.

Why the pyramid matters

When AI compresses the cost of middle-layer functions, three things happen:

1. The economic rationale for large parts of the middle layer weakens
2. The top layer's reach can extend without proportional middle-layer growth
3. The base layer can potentially access value more directly

This is why the transition feels more destabilising than a tooling upgrade. The question is not just how work gets done, but which organisational layers still make economic sense.

Early evidence suggests compression is already visible in high-exposure occupations. Computer and mathematical occupations, among the most AI-exposed, saw some of the steepest unemployment rises between 2022 and 2025.[5] Unemployment among 20- to 30-year-olds in tech-exposed occupations has risen by almost 3 percentage points since early 2025.[6]

The shape after disruption

What does the pyramid look like after the crossing? Different domains may settle into different configurations:

The flattened pyramid. The middle layer compresses dramatically while the top and base remain. Fewer intermediaries sit between expert and user. Legal information, educational content, and software tools may follow this pattern.

The networked mesh. The pyramid dissolves into a more distributed structure. AI enables peer-to-peer coordination that previously required centralised management. Open-source communities already show elements of this pattern.

The hourglass. The middle compresses while new bottlenecks form at the infrastructure layer. Value concentrates at both the top (human scarcity) and the bottom (physical scarcity), with a thin middle. Healthcare and energy may follow this pattern.

The hybrid stack. Human-AI organisations develop a distinctive structure: small, high-judgement human teams at decision points, AI systems handling scale and coordination, and a thin integration layer between them.

The strategic question for any organisation is: which shape is your domain moving towards, and where do you want to be in it?

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[5]Ozkan, S. and Sullivan, N. (2025). "Is AI Contributing to Rising Unemployment? Evidence from Occupational Variation." Federal Reserve Bank of St. Louis.
[6]Goldman Sachs Research (2025). "How Will AI Affect the Global Workforce?"

5. Resistance Is Rational

Incumbents resist deflation because, from inside the current system, resistance is often very rational.

If an organisation, profession, or platform is built on managing scarcity, then AI-driven cost compression threatens not only revenue but identity, authority, and institutional legitimacy. The natural response is not surrender but defence. That defence usually appears as:

- lobbying
- regulatory tightening
- complexity reintroduction
- liability expansion
- credential reinforcement
- infrastructure enclosure
- strategic repositioning into premium residual segments

This behaviour is not necessarily malicious. Systems often respond this way when their core economics face pressure. That is precisely why resistance must be anticipated rather than moralised.

6. The Four-Phase Transition Pattern

Across many domains, disruption follows a recognisable sequence:

Phase 1: Compression begins

AI starts undercutting the cost structure at the edges. Early use cases look narrow. Incumbents remain profitable. The core model appears intact. But cracks appear at the margins.

Phase 2: The middle layer drains

Roles that primarily manage scarcity, rather than create value, begin losing economic rationale. Routine review, standard drafting, standardised analysis, and basic coordination thin out first. In the four-scarcity framework, this is cognitive scarcity being dissolved at the middle layer.

Phase 3: Defence inversion

The threshold. The cost of maintaining defence begins to approach or exceed the rent it protects. The strategic question changes from "How do we stop this?" to "What is our cheapest defensible residual position?"

This moment marks when defence stops being profitable preservation and becomes expensive delay.

Phase 4: Release

The market lets go, not morally but economically. Incumbents retreat to residual layers: complex edge cases, premium service, brand trust, liability-bearing roles, deep human judgement. The mass market moves towards AI-enabled alternatives.

Incumbents rarely release because they are persuaded. They release when continued defence no longer pays.

7. The Pattern in Practice

The compression-to-release pattern is not unique to AI. Recognising where it has played out calibrates expectations.

Recorded music (1999–2015). Distribution costs collapsed. Defence: litigation, DRM, lobbying. Defence inversion: enforcement costs exceeded recoverable revenue. Release: streaming offered cheaper monetisation than warfare. Residual: live performance, merchandise. Notably, value migrated to platform owners, away from mid-tier artists. This is capture in action.

News and journalism (2005–present). Information distribution costs fell toward zero. The middle layer, print logistics, classified advertising, local monopolies, drained rapidly. The industry remains mid-transition: some outlets found subscription models, but local news collapsed and platform capture of advertising revenue is well-documented. The valley here is severe and ongoing.

Customer support (2023–present). AI is projected to handle 95% of customer interactions by 2025.[7] Companies report 30% operational cost reductions.[8] But the pattern shows capture dynamics: AI reduces the cost of producing support while proprietary platforms control access. The question is whether savings flow to users (lower prices, better service) or to infrastructure owners (higher margins, platform lock-in).

These cases suggest: the pattern is real, but speed varies based on regulatory structure, physical constraints, and incumbent coordination. Capture is the default outcome unless actively countered. The valley is real and unevenly distributed. "Release" often means new equilibrium, not disappearance.

8. The Valley Between Structures

A serious transition map must be honest about the valley, the painful gap between old structures losing rationale and new structures becoming reliable.

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[7]Gartner (2024). AI customer service projections.
[8]Multiple industry sources on contact centre AI deployment. See IBM, Deloitte operational efficiency studies.

The valley looks like:

- Cognitive-scarcity job compression before new roles stabilise
- Identity disruption as professionals discover their expertise is more cognitive than human
- Institutional confusion and policy lag
- Widening gaps between early adopters and everyone else
- Declining trust in existing pathways (education, careers, credentials)
- Rising anxiety and political volatility

The World Economic Forum projects 85 million jobs displaced by 2025, with 97 million new roles emerging, a net positive of 12 million globally.[9] But these are not one-to-one swaps. New roles are not in the same locations, do not require the same skills, and will not go to the same people.

The valley worsens when institutions deny the transition, defend rent while underinvesting in alternatives, or assume markets will produce equitable outcomes by default.

The valley is an argument for better navigation, not for pretending the crossing is smooth.

Part II: Capture and the Fate of Released Value

9. Where the Value Goes

Deflation does not make value disappear. Value migrates. The central strategic question:

Where does the released value flow?

- Into broader access, lower friction, and larger commons?
- Or into new chokepoints, tollbooths, and rent extraction systems?

This paper calls the second pattern **capture**.

The distinction that matters is between productive intermediation and extractive capture. Productive intermediation creates genuine value: a platform that makes something possible that was not possible before earns a legitimate return. Extractive capture intercepts value that AI deflation has already created, inserting rent-extracting friction between a near-zero-cost capability and the people who need it. The first deserves reward. The second deserves scrutiny.

Shoshana Zuboff's analysis of surveillance capitalism demonstrates how technological capability can be captured rather than distributed.[10] Efficiency gains do not automatically flow to

[9] World Economic Forum (2025). *Future of Jobs Report*.
[10] Zuboff, S. (2019). *The Age of Surveillance Capitalism*. New York: PublicAffairs.

users. They can be redirected into new forms of extraction. The AI transition faces the same risk at larger scale.

10. Why Capture Wins by Default

Capture is not merely possible, it is the structurally favoured outcome unless actively countered.

The political economy is asymmetric. Those who benefit from capture, infrastructure owners, platform operators, incumbent gatekeepers, are concentrated, well-resourced, and organised. Those who would benefit from open access are diffuse, uncoordinated, and often unaware of what they are losing.

This is Mancur Olson's collective action problem in its purest form.[11] A small group with large individual stakes will outorganise a large group with small individual stakes, even when the aggregate benefit to the larger group far exceeds the benefit to the smaller one.

The lobbying asymmetry is severe. Incumbents can afford to spend millions defending regulatory complexity that preserves their position. The diffuse public cannot coordinate equivalent pressure for simplification. The result: regulatory capture, complexity reintroduction, and procedural barriers that serve no one except those who profit from friction.

This is why "let the market decide" is not a neutral position. Markets do decide, but the decision is shaped by whoever can afford to shape the rules. Without deliberate counter-pressure, capture is the default destination of released value.

Understanding this is essential. If capture is treated as an aberration rather than a structural tendency, counter-strategies will be naive and ineffective.

11. Likely Capture Zones

During the AI transition, capture will likely concentrate around:

- Compute infrastructure
- Chip supply and fabrication
- Energy and grid access
- Data access and proprietary training corpora
- Distribution channels and platforms
- Regulatory and liability frameworks
- Identity, trust, and certification layers

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[11]Olson, M. (1965). *The Logic of Collective Action: Public Goods and the Theory of Groups*. Cambridge, MA: Harvard University Press.

These zones matter because intelligence can become technically cheaper while access remains structurally gated. A world where advice, education, or analysis are cheap to produce but expensive to access is not an open transition. It is a rerouted scarcity model.

12. Four Capture Patterns

1. Infrastructure capture

When production costs fall, control shifts to the pipes. The strategy: control compute, distribution, deployment rails, and price access to the infrastructure layer. In the four-scarcity framework, this is the migration of rent extraction from cognitive scarcity (which AI has dissolved) to physical scarcity (which persists).

2. Complexity reintroduction

As AI simplifies a task, new complexity appears nearby to preserve intermediaries. Expanded compliance burdens, new liability requirements, procedural density, certification overheads, particularly in law, healthcare, and financial services. This is the defence of manufactured scarcity after cognitive scarcity has been compressed.

3. Residual position capture

When mass-market deflation becomes difficult to resist, incumbents retreat to the high-complexity tail and redefine it as the "real" version of the service. Sometimes this residual is genuine human scarcity. Sometimes it preserves authority beyond what quality requires, manufactured scarcity dressed in the language of human scarcity.

4. Physical layer capture

As cognitive and manufactured scarcity weaken, rent extraction migrates to physical bottlenecks. This is often the least visible form and one of the most consequential. If the transition depends on narrow physical chokepoints, the scarcity game survives while digital services appear to deflate.

13. A Practical Capture Watchlist

To assess whether a sector moves toward commons or capture:

Signs of healthy deflation

- Lower cost with maintained or improving quality
- Broader access without new gatekeeping
- Open standards or interoperable systems
- Stronger user agency and portability
- Declining dependence on opaque intermediaries

Signs of capture

- Falling production cost but rising access cost
- New artificial complexity around previously simple tasks
- Growing infrastructure concentration without interoperability
- Regulatory changes protecting incumbents over users
- "Trust" language justifying enclosure without measurable benefit

The key test: If only the producer benefits, but the user does not, you may be seeing capture in a more efficient form.

Part III: The Open Question

The vocabulary above is diagnostic. It helps identify what is happening. This section addresses what the diagnosis implies, not as settled answers, but as the design questions the vocabulary opens.

14. The Return of the Commons

One possibility in the AI transition is that it may reopen a question many societies had declared settled:

Was the retreat of the commons inevitable, or was it largely a product of scarcity-era economics and the ideology built around them?

For several decades, shared goods and common infrastructures have been framed as inherently inefficient. Under this logic, anything held in common looks like waste.

This logic had force in a scarcity-bound world. When coordination is expensive, stewardship is labour-intensive, and provision costs are high, common systems can be fragile.

But if AI significantly reduces the cost of coordination, monitoring, administration, and support, some foundational arguments against the commons weaken. Systems once difficult to maintain at scale may become easier to steward.

Elinor Ostrom's research documented over 800 cases of successful commons management worldwide, demonstrating that neither privatisation nor state control is inevitable.[12] Her design principles, clearly defined boundaries, collective choice arrangements, graduated sanctions, nested governance, show commons can be managed sustainably when institutional conditions are right.

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[12]Ostrom, E. (1990). *Governing the Commons*. Cambridge University Press.

What AI may change is the cost of meeting those conditions. If AI reduces the transaction costs of commons governance, the design space for viable commons expands.

This matters for understanding capture. If the privatisation logic remains the default frame, capture will not appear as capture. It will appear natural, the market doing what markets do.

15. Universal Basic Services: The Design Question

If the commons can be renewed, a practical question follows:

What foundational participation layers does a person need to function as an agent in modern society?

This paper uses **Universal Basic Services (UBS)** to name this question, not to answer it fully.

A plausible UBS core includes:

- Shelter
- Food and water security
- Safety and emergency response
- Healthcare
- Intelligence access (internet and AI)
- Mobility
- Civic participation
- Legal and administrative access

These should be understood as **foundational participation layers**, conditions without which a person cannot function, contribute, and flourish, not as services delivered to passive recipients.

What this paper does not do

This paper does not resolve the UBS question. Specifically, it does not address:

- **Financing**: How is UBS funded when cognitive worker tax revenues may be falling?
- **Governance**: Who decides what is foundational? How are quality standards maintained?
- **Political economy**: What coalitions could make this happen? What lobbying dynamics would resist it?
- **Implementation**: Detailed domain-by-domain roadmaps

These are serious gaps. A credible UBS framework would require analysis of coalition-building, lobbying dynamics, and geopolitical competition that exceeds this working paper's scope.

What this paper *does* do is provide vocabulary for understanding why the question matters and where capture threatens to foreclose it.

16. The Atoms Abundance Uncertainty

The UBS roadmap depends partly on a second wave of deflation: embodied AI compressing physical scarcity in manufacturing, construction, logistics, and maintenance.

This paper expresses significant uncertainty about this timeline.

The cognitive deflation curve is well-documented. But physical abundance faces constraints that software does not:

- **Thermodynamics**: Material transformation obeys laws that information processing does not
- **Supply chains**: Rare earths, copper, and specialised materials face geopolitical constraints
- **Infrastructure**: Grid capacity, permitting, and construction timelines move slowly
- **Regulation**: Physical systems face safety and liability requirements that delay deployment

Optimistic scenarios suggest meaningful embodied AI cost compression by 2030-2035. Pessimistic scenarios push this to 2040-2050. The honest answer is: we do not know.

What this means for UBS:

Some UBS domains can proceed with cognitive abundance alone: AI access, education, legal navigation, administrative support. These do not require atoms abundance.

Others, shelter, food systems, healthcare treatment capacity, depend on physical cost compression. If atoms abundance is delayed significantly, the UBS roadmap must be sequenced accordingly: cognitive participation layers first, physical layers as and when the economics permit.

The vocabulary in Parts I-II remains valid regardless of which scenario unfolds. The diagnostic tools work whether abundance is captured or shared, whether physical deflation arrives in 2030 or 2050. What changes is the scope and timeline of the positive alternative.

Part IV: Practical Use

17. Using This Framework

For individuals

Ask:

- Which parts of my work sit in cognitive scarcity (compressing now) versus human scarcity (durable)?
- Which capabilities become more valuable as information asymmetry falls?
- Where am I exposed to a collapsing middle layer?
- What relationships and skills remain durable across tool shifts?
- Am I building towards human scarcity or defending cognitive scarcity?

Focus on durable contribution, not merely "safe jobs."

For executives and operators

Ask:

- Where are we in the transition pattern?
- What part of our margin depends on cognitive scarcity that AI is dissolving?
- What part depends on manufactured scarcity whose rationale is weakening?
- Which deflation pressures are we underestimating?
- What residual position is genuinely defensible, and is it human scarcity or manufactured scarcity in disguise?
- Are we becoming a better service, or a better gatekeeper?

The key error is treating this as a tooling upgrade when it may be a cost-structure transition.

For policymakers

Ask:

- Are we reducing friction where economics have already shifted?
- Are we accidentally rebuilding manufactured scarcity around deflated cognitive capabilities?
- Are we supporting transition capacity, not just preserving old structures?
- Where are physical-layer chokepoints likely to concentrate?
- Are we creating conditions for commons or for capture?

Conclusion

18. The Choice Beneath the Crossing

The AI transition is not a single event. It is a sequence of crossings, unevenly distributed across sectors and geographies, shaped by economics, institutions, infrastructure, and power.

- The deflation is real.
- The resistance is rational.
- The capture pattern is already visible.
- The valley is real.
- The outcome is not settled.

This paper argues that the central question is not how capable AI becomes, but whether civilisation can turn rising intelligence into shared infrastructure rather than new enclosure.

The vocabulary offered here, four scarcities, the pyramid, defence inversion, capture patterns, the valley, is meant to make that question navigable. The concepts are tools for seeing what might otherwise remain obscured by speed, complexity, and incumbent narrative.

The crossing is not the destination. It is the point at which a civilisation discovers whether it can build institutions equal to the intelligence it has created.

The central problem of the AI transition is not automation. It is capture.

Appendix: Capture Watchlist Checklist

Access and cost

- Is production cost falling?
- Is access cost also falling for users?
- Is lower-cost provision broadening access or improving margins?

Quality and trust

- Is quality holding steady or improving?
- Is "trust" a measurable function or a vague enclosure claim?
- Are liability structures protecting users or preserving rents?

Infrastructure and control

- Where are the real chokepoints?

- Is concentration increasing in physical or digital infrastructure?
- Are users becoming more portable or more locked in?

Governance and standards

- Are open standards strengthening or weakening?
- Is interoperability improving?
- Are public-interest pathways being built, or private tollbooths hardening?

Companion Documents

This working paper is part of a series:

- **"The Belonging Problem"** explores questions of AI standing, participation, and the conditions for stable abundance that follow from the transition analysis but require separate treatment.

- **Future work** on UBS financing, governance, and political economy will address the implementation gaps acknowledged in this paper.